

for scams, the sites implemented policies and procedures to protect investors. For instance, Kickstarter maintains investor funds in escrow until a project is funded to a sufficiently high level. If not enough people invest, then funding stops and investors get their money back.

Many projects have been funded by investors who simply wanted to see it become a reality, while others funded projects to receive the product. To get a feel for what Kickstarter can provide to investors interested in the bitcoin and blockchain space, simply type those terms into the search box on the Kickstarter site.⁸ Opportunities for investing in documentaries, books, games, and application development can be found. Fund a documentary on Bitcoin, for example, and on completion investors receive a DVD of that documentary.

One of the most compelling aspects of crowdfunding was that it not only allowed dreamers to build their product or business, it allowed investors of all levels to participate in seeing these dreams come true. Prior to crowdfunding, in those cases where investors wanted to share in the equity opportunities provided by a startup, they still had to be an accredited investor. While the intention of requiring investors at this stage to be accredited is good, it has the side effect of locking the average investor out of some of the earliest stage investments with the highest returns.

In 2012, the phenomenon of crowdfunding came to the forefront of government regulator attention. Fortunately, rather than killing the concept, the government decided to create policies around it and market it to assist startups. The